

Lets Dive in Deeper...

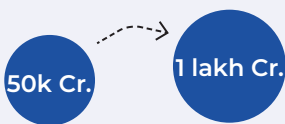
Large Cap Companies

Large-cap companies are large, well-established, and have a long history. They are relatively less risky because they have long operating history and large markets. They are stable and large businesses and therefore have lower potential return.



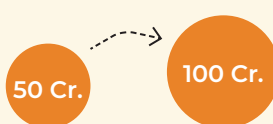
Let's take the case of Reliance Industries, which has a profit of Rs. 50000 crore. Now they must find another 50000 crores of earnings to double their profits, which will take time as compared to companies with 50 Cr.

Large Cap Companies



Limited Opportunities

Small Cap Companies



Multiple Opportunities

Small Cap Companies

Small-cap enterprises have a market capitalization of 700 crores and profits of 30-50 crores. They aren't as stable as large cap companies. They have a lot of uncertainty about scaling up as they will be experimenting with new items. As a result, they have a higher risk, but they also have a larger return potential if they succeed in scaling up.

Sharma Ltd CO, which has a market capitalization of 50 crores, seeks to quadruple its profitability. They have way more opportunities as compared to a 50k Cr. company trying to quadruple.

